

China's Export of Involution: How the World's Factory Is Exporting Deflation, and What It Means for the Global Economy, 2026-2030

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Executive Summary

China has spent three decades building the world's most formidable manufacturing machine. In 2026, that machine has achieved something no previous industrial power managed on quite the same scale: it is exporting not just goods, but the structural conditions of its own economic predicament. Cutthroat domestic price competition -- what Chinese economists call **内卷**, *involution* -- has collapsed profit margins at home while producing a flood of cheap, technologically advanced goods that is reshaping price levels, employment, and industrial strategy in every major economy. China's worldwide trade surplus exceeded \$1.2 trillion in 2025 and is on track to breach that threshold again in 2026 [NIKKEI[2026-07-28]]. The Goldman Sachs finding that every one-percentage-point increase in Chinese exports to a country suppresses that country's goods prices by 0.5 per cent -- and that this has already compressed prices across major developed markets outside the United States by an average of 0.6 per cent -- is not a forecast. It is a measured effect already operating in the global economy [NIKKEI[2026-08-29]].

This report examines the anatomy of involution, traces the mechanism by which China's domestic price destruction becomes global price destruction, analyses the geographic impact zone by zone, and models three scenarios for the 2026-2030 period. Its central finding is that China is not exporting a trade problem. It is exporting a monetary problem -- one whose full consequences for inflation targeting, industrial employment, and capital allocation have not yet been absorbed by the central banks and governments trying to manage them.

I. "I Was Swept Along": The Anatomy of a Machine That Cannot Stop

On the fourth floor of Autolink's headquarters in Wuxi, machines mount thousands of components onto circuit boards at a pace the company is working to accelerate further -- from 56 seconds per cycle to 40. On the floor below, robotic assembly lines are being optimised in parallel. The company has poured 1.6 billion yuan (\$238 million) into the business and has yet to turn a profit. Its investors include Wuxi's municipal government. Its chairman and CEO, Yang Hongze, cannot straightforwardly explain why he built it this way. "I don't know if this is necessarily the right path," he told Nikkei Asia, "or the path Chinese companies should take." His real explanation is more revealing still: "I was actually swept along, because if I didn't do it this way, others would. Ironically, I went from being swept along to becoming the fastest to adopt this model" [NIKKEI[2026-08-29]].

Yang's self-description is the most precise account available of how Chinese involution actually works. It is not a conspiracy and not a plan. It is a prisoner's dilemma that every actor inside the system rationally participates in and collectively cannot escape. The word itself -- ■■■ -- entered mainstream Chinese usage around 2020, describing a dynamic borrowed from anthropologist Clifford Geertz's analysis of Javanese wet-rice agriculture: a system in which more and more inputs are applied to achieve the same or diminishing returns, because every actor fears that stopping first means losing to those who continue. In Chinese manufacturing, the inputs are capital, production capacity, and labour intensity, and the actors are not just companies but entire cities and provinces competing to protect local employment and hit GDP growth targets.

The mechanics are distinctive in three ways that separate Chinese involution from ordinary capitalist competition. The first is the survival subsidy: Chinese local governments have strong incentives to keep factories running regardless of profitability, because shutting them means unemployment, which threatens political stability and undermines the provincial GDP figures that determine officials' career advancement. The result is a manufacturing sector where companies that should have exited the market continue operating, adding supply to already-oversupplied industries. BloombergNEF estimated that China's battery production capacity in 2023 alone was equal to the entire global demand for batteries -- meaning that every battery factory built outside China that year was, in a strict accounting sense, surplus to global requirements before its first unit rolled off the line [FA[2024-09-01]]. Beijing's own Ministry of Industry and Information Technology acknowledged by mid-2025 that pricing practices in the new-energy vehicle sector required "monitoring and standardisation," and China's State Council released draft revisions to the country's pricing law aimed at containing what officials were calling "improper pricing behaviour" [CNA[2025-07-31]].

The second distinctive feature is the municipal investment partnership. Yang's 1.6-billion-yuan investment in Autolink was not funded by retained earnings from a profitable business. It was backed by Wuxi's municipal government -- a pattern repeated across China's EV, solar, battery, robotics, and AI-hardware supply chains. The capital that builds these factories

does not need to earn a market return because it has a political return: jobs created, tax base maintained, national strategic-industry targets met. This means the hurdle rate for Chinese industrial investment is structurally below that which any private-market competitor in Germany, Japan, or the United States faces.

The third feature is the competitive dynamic that Yang describes: the fear of being the one who stops. In a market where every competitor has access to subsidised capital and is racing to cut cycle times and unit costs, the rational response for any individual company is to race harder. The company that slows investment loses market share to those that continue. The company that raises prices loses orders to those that undercut. The result is an industry-wide race to the bottom that produces genuine technological advances -- Autolink's cycle-time reductions and AI-integration work are real engineering achievements -- but zero or negative returns for the investors and communities paying for them.

This dynamic has been operating in Chinese manufacturing for decades, but it has reached a qualitative inflection point in 2025 and 2026 for one reason: China's domestic demand can no longer absorb the output. When the Chinese property market was expanding and domestic consumption growing at double digits, the surplus from involution-driven factories was broadly soaked up at home. That absorptive capacity is gone. Property construction has collapsed. Consumer confidence is fragile. China's full-year consumer inflation was projected at just 0.9 per cent for 2026, a number that, while technically positive, reveals an economy still fighting to escape deflation's gravity well [CNA[2026-02-11]]. China's factory-gate prices were mired in deflation for so long that when they briefly turned positive in mid-2026, the cause was not a domestic demand recovery but an external geopolitical shock -- the Iran war's closure of the Hormuz Strait driving up oil and input costs [CNA[2026-04-10]]. The domestic demand problem that was already a problem in 2023, when Macquarie Group's chief China economist Larry Hu warned of "a downward spiral if expectations of deflation become entrenched" [WSJ[2023-07-12]], has not been resolved. What has changed is the destination of the output. What China cannot sell at home, it is selling abroad. And the price it charges abroad reflects the cost structure of a heavily subsidised, zero-hurdle-rate domestic industry operating in an economy running on the edge of deflation.

"Factories are producing far more than Chinese consumers are buying," Yardeni Research noted in its assessment of the situation. "What China cannot sell at home is getting dumped overseas. China is exporting deflation" [NIKKEI[2026-08-29]].

II. The Deflationary Transmission Mechanism

To understand why China's involution problem becomes a global monetary problem, it is necessary to trace the exact mechanism by which Chinese factory-floor price pressure crosses borders and appears in consumer price indices in Frankfurt, São Paulo, and Seoul.

The mechanism begins with China's producer price index. China's PPI was in deflation for 42 consecutive months as of August 2015 [CNA[2015-09-10]], a streak that eased briefly before

resuming. The structural dynamic -- excess supply exceeding domestic demand across a broad industrial base -- kept Chinese factory-gate prices suppressed for most of the decade from 2013 to 2025. During the same period, producer prices in Germany and the euro area rose by more than 35 per cent from their early-2020 level while Chinese producer prices barely moved [NIKKEI[2026-08-29]]. This divergence is the core of the price-transmission asymmetry. German factories bearing higher energy, labour, and input costs than they carried in 2020 compete against Chinese factories whose cost base has been held down by subsidy, cheap capital, and suppressed raw-material prices. The playing field is not merely uneven; it is structurally tilted in a direction that no policy intervention short of either massive European de-industrialisation support or a substantial renminbi appreciation can correct.

The renminbi is the second element of the transmission mechanism. Economists at the German Economic Institute have documented an estimated 40 per cent real appreciation of the euro against the yuan since 2020 -- a figure that reflects not Chinese currency manipulation in the direct sense but the differential in producer price inflation between the two economies [NIKKEI[2026-08-29]]. In Barclays' January 2026 assessment, "meaningful appreciation" of the renminbi was considered unlikely; the currency was expected to remain broadly stable against the dollar even as Chinese export competitiveness increased in real terms [FT[2026-01-09]]. China manages its exchange rate actively but does not need to devalue aggressively when PPI suppression is doing the same work. Every percentage point by which German and euro-area producer prices rise faster than Chinese producer prices is, in economic terms, equivalent to a renminbi devaluation of roughly that same magnitude in real, trade-weighted terms.

The Goldman Sachs mechanism formalises this: a one-percentage-point increase in Chinese exports to a given country is associated with a 0.5-per-cent decline in goods prices in that country, on average. Applied to the actual scale of Chinese export growth in 2025 and the first half of 2026, Goldman Sachs economist Megan Peters calculated that Chinese export expansion has suppressed goods prices in major developed markets outside the United States by an average of 0.6 per cent from their trajectory [NIKKEI[2026-08-29]]. This is not a small number. In an environment where central banks are still calibrating toward their 2 per cent inflation targets, a 0.6-percentage-point goods-price suppression changes the path of policy rates, the pace of disinflation, and the distribution of real income between exporters and consumers.

For consumers in import-dependent economies, cheaper Chinese goods are unambiguous welfare gains. Brazilians paid on average 3.5 per cent less for a light vehicle in June 2026 than in 2025, directly attributable to Chinese competition [NIKKEI[2026-08-29]]. German consumers pay less for electronics, appliances, and electric vehicles than they would in a world without Chinese competition. Larry Hu noted in 2023 that "declining prices in China can offer a measure of relief for central bankers battling inflation in the U.S." [WSJ[2023-07-12]]. That relief was real. The question this report examines is whether the cumulative effect -- sustained goods deflation exported at scale for years, not quarters -- crosses from benign consumer benefit into systemic disruption of the industrial base, labour markets, and monetary policy frameworks on which those consumers depend for their livelihoods.

The answer that emerges from the evidence is: in several economies, it already has.

III. The New Three: Flags of the Export Surge

Three product categories have become the primary vehicles of China's involution export: solar panels, lithium-ion batteries, and electric vehicles. Designated by Beijing's policymakers as the "新三样" -- the "new three" -- they are the strategic industries China chose in the 2010s to dominate global supply chains, and they are now the principal channels through which Chinese overcapacity crosses borders.

Exports of the new three jumped 52 per cent in the first half of 2026 compared with the same period in 2025, reaching *116 billion in just six months [NIKKEI[2026-08-29]]*. *The scale of this is worth pausing on:* 116 billion in six months from three product categories is more than the total annual goods exports of most middle-income countries. It reflects an industrial build-out of a scale that required China's distinctive combination of state-directed capital, subsidised energy, and involution-driven competition to execute.

Electric vehicles are the most visible and politically charged of the three. Chinese automakers exported 2.3 million vehicles in the first half of 2026 alone -- nearly matching the 2.5 million they exported in all of 2025 -- suggesting full-year 2026 exports could approach 4.5 to 5 million units if the trajectory holds [NIKKEI[2026-08-29]]. BYD, Luxshare, and Midea Group led the charge in overseas revenue at Chinese listed companies overall, with BYD's export trajectory representing the most dramatic growth in the cohort. Yet despite this volume growth, Chinese automakers' total profit dropped 20 per cent year on year in the first half of 2026, and their aggregate profit margin shrank to 3.8 per cent -- less than half the 8 per cent they earned in 2017 [NIKKEI[2026-08-29]]. The inverse relationship between unit volume and profit margin is the clearest numerical expression of involution's internal logic: the harder the race, the faster the finish, the thinner the winnings.

Geely's chief financial officer Dai Yong offered the most granular insight into the underlying economics. Per exported vehicle, Geely earns between 12,000 and 15,000 yuan. Per domestically sold new-energy vehicle, the same company earns less than 3,000 yuan -- a domestic car may average 111,584 yuan in sale price while generating a fraction of the export margin [NIKKEI[2026-08-29]]. This differential reveals the implicit subsidy embedded in China's domestic market structure: the domestic price war is so severe that even a high-volume automaker cannot extract a meaningful margin at home. Export is not just growth strategy; it is margin rescue.

Solar panels tell a similar story at a more advanced stage. Trina Solar, one of China's largest panel manufacturers, reported a 16 per cent increase in overseas revenue in the period while domestic sales fell 9 per cent [NIKKEI[2026-08-29]]. The solar overcapacity problem preceded the current EV and battery surge: Chinese solar panel production capacity was already exceeding total global installation demand by a wide margin before 2023. The United States increased anti-dumping and countervailing duties against Southeast Asian solar PV exporters in 2025

precisely because Chinese manufacturers had routed production through Vietnam, Malaysia, and Cambodia to circumvent US tariffs -- a pattern that resulted in the tariff perimeter expanding to cover the entire regional supply chain rather than just China itself [Lowy[2025]].

Batteries represent perhaps the most structurally acute overcapacity case. BloombergNEF's 2024 estimate that China's battery production in 2023 was equivalent to total global battery demand -- not total Chinese demand, but total global demand -- is a figure that places the scale of the oversupply beyond any plausible short-term correction [FA[2024-09-01]]. As of 2024, Western producers were adding capacity simultaneously with continued Chinese expansion, meaning the global supply surplus was on a trajectory to worsen, not improve, through the mid-2020s. Foreign Affairs noted in its analysis that "the global problem of excess supply will likely worsen in the years to come" [FA[2024-09-01]].

The common thread across all three categories is that they are capital-intensive industries with high fixed costs and near-zero marginal cost of additional output once capacity is built. Once a solar panel factory, an EV assembly plant, or a battery gigafactory is constructed and staffed, the cost of producing the next unit is small. In a competitive market, this drives rational producers to undercut each other on price until marginal cost is approached -- a textbook Bertrand competition dynamic that produces efficient pricing but destroys returns for producers. In China's case, the fixed costs were funded with subsidised capital that does not require market-rate returns, making the floor price lower still.

The result is that Chinese new-three products enter export markets not just competitively priced but at prices that no producer paying market-rate capital costs can match in the medium term. "Some of the weakest profit growth has come from the sectors that define the new China shock," observed Adam Wolfe of Absolute Strategy Research. "They may be dominating global markets, but it's not particularly profitable" [NIKKEI[2026-08-29]].

IV. Geographic Impact: Who Gets Hit and How Hard

Germany and the European Union

Germany is the most documented case study in involution's export damage, and the numbers are severe. The German Economic Institute found that increased competition from China was linked to approximately 400,000 of the 520,000 total manufacturing job losses in Germany between 2019 and 2025 [NIKKEI[2026-08-29]]. That is a substantial majority of all German manufacturing job losses in a six-year period attributable to a single source of competitive disruption. German Finance Minister Lars Klingbeil's August 2026 accusation that China is "not playing by the rules" of global trade -- citing "overcapacity, state subsidies, joint venture obligations" -- reflects the political urgency behind numbers of this magnitude [NIKKEI[2026-08-29]].

The mechanism the German Economic Institute identified as central to the "new China Shock" -- as they term the current period, distinguishing it from the first China Shock of the

1990s and 2000s -- is the producer price divergence. German and euro-area producer prices rose by more than 35 per cent from early 2020 levels, driven by the 2021-2022 energy price surge and its structural aftermath, while Chinese producer prices remained essentially flat over the same period [NIKKEI[2026-08-29]]. Institute researcher Juergen Matthes characterised this as a "producer price shock" compounded by the euro's 40 per cent real appreciation against the yuan. "The key point to understand is that one of the main reasons of the new China Shock is this producer price shock," he told Nikkei Asia [NIKKEI[2026-08-29]].

By mid-2026, there were the first tentative signs of stabilisation in German industrial orders [FT[2026-07-06]], but the structural competitive disadvantage had not been resolved. Germany's attempted responses have included discussions of broader EU tariff measures, acceleration of the EU-China trade talks ahead of an October 2026 deadline, and support for Chinese EV manufacturers' moves to produce locally in Europe -- Geely striking a production-sharing deal at Ford's Almussafes plant in Spain, with BYD seeking similar arrangements. Localisation of Chinese EV production in Europe may ease trade tension but does not resolve the underlying competitiveness gap in components and materials.

The EU's response has been escalating tariffication: anti-dumping duties of at least 60 per cent on China-made polyamide yarns were announced in July 2026 [NIKKEI[2026-07-28]], supplementing earlier duties on solar panels and EVs. The EU and China set an October 2026 deadline for progress on their trade disagreements. Natixis Asia-Pacific chief economist Alicia Garcia-Herrero judged that China's July 2026 position paper rejecting overcapacity claims would serve as "a reference in the next rounds of China-EU talks" but that "the underlying EU concerns remain, so the paper alone will not reset the talks" [NIKKEI[2026-07-28]].

The United States

The United States has pursued a different strategy from Europe: higher and broader tariff walls rather than negotiated resolution. The Trump administration imposed tariffs of up to 12.5 per cent on Chinese goods in 2026 on forced-labour grounds, and US Trade Representative Jamieson Greer launched an investigation under Section 301 of the Trade Act into sixteen key trading partners' industrial capacity practices, with China the primary target [NIKKEI[2026-07-28]]. The Section 301 framework had already been used in the first Trump administration to impose tariffs on more than \$200 billion of Chinese imports, and Biden kept those in place; the second Trump term added to them [Atlantic Council[2026-06-24]].

The US is reported to be considering additional tariffs specifically targeting Chinese overcapacity, timed ahead of a planned Xi Jinping visit in September 2026 [NIKKEI[2026-07-28]]. The WTO's director-general described the tariff environment as causing "unprecedented disruption to the international trading system" -- "the biggest disruption since World War II" [CNA[2025-09-03]].

The US position differs from Europe's in one critical respect: the American domestic manufacturing base, particularly in EVs and batteries, is more nascent and more politically protected. The Inflation Reduction Act built a parallel domestic clean-energy supply chain

designed to not depend on Chinese production. The tariff walls, while disruptive to global trade, have given domestic US manufacturers some pricing protection that European counterparts lack. Whether that protection can sustain domestic production long enough to achieve scale economies is the central industrial-policy question of the remainder of this decade.

Southeast Asia: Absorbing the Overflow

Southeast Asia occupies a uniquely vulnerable position in the involution export dynamic. JETRO chairman and CEO Norihiko Ishiguro articulated the problem with precision: China's overcapacity structure has been "brought in" not only through direct exports but through outbound Chinese investment that embeds the same production dynamics in host countries [NIKKEI[2026-07-28]]. Chinese companies moving manufacturing to Vietnam, Malaysia, Thailand, or Indonesia to circumvent US and EU tariffs bring with them the capital structures, pricing logic, and competitive intensity of Chinese involution -- not just the products.

The United States increased anti-dumping and countervailing duties against Southeast Asian solar PV exporters in 2025, reflecting the tariff-circumvention reality [Lowy[2025]]. The US also blocked Chinese EV technologies from American markets on national security grounds, with the consequence that Chinese-linked manufacturing operations established in Southeast Asia find themselves excluded from the US supply chain they were partly designed to access [Lowy[2025]]. For ASEAN host governments, the calculation is complex: Chinese investment brings jobs and capital in the short term, but as Brazil's experience shows, it can also bring price competition that displaces existing local producers and makes structural upgrading harder.

The World Bank's East Asia and Pacific Economic Update found that China's growth trajectory reduces growth in the rest of developing EAP by 0.3 percentage points -- a modest figure in isolation but one that, compounded across a decade, represents a meaningful subtraction from the regional development path [WB_EAP_2026]. The channel is not just trade competition; it is also demand: if China's domestic economy is sluggish, its appetite for ASEAN raw materials and intermediate goods is weaker than it would be in a high-growth scenario.

Brazil and Latin America

Brazil's experience with Chinese EVs is a compressed preview of what involution export looks like at the consumer end. Chinese brands' rapid expansion into Brazil -- now the largest importer of Chinese vehicles -- drove the average price of a light vehicle down 3.5 per cent in June 2026 compared with 2025 [NIKKEI[2026-08-29]]. Murilo Briganti of Bright Consulting assessed this as a "major factor" in the price decline, noting that Chinese brands forced established manufacturers to offer larger discounts and reposition models -- the classic price-war transmission from new entrant to incumbent.

Brazil's policy response has been to raise import tariffs on EVs and hybrids to the 35 per cent ceiling and phase out tariff exemptions for Chinese EV kit imports [NIKKEI[2026-08-29]]. Briganti's assessment was that the government "welcomes stronger competition and lower prices for consumers, but wants Chinese automakers to manufacture and invest locally" -- the same localisation demand emerging simultaneously in Germany, the EU, and multiple other markets.

This convergence on localisation as the preferred outcome is itself significant: it represents a global policy consensus that Chinese goods at Chinese prices are acceptable, but Chinese goods manufactured abroad with lower employment and tax contributions are not.

For Latin America more broadly, cheaper Chinese goods suppress inflation in the short term -- a genuine benefit for consumers in high-inflation economies -- but undercut the industrial base on which sustained wage growth depends. The deflationary pressure is not uniform: it concentrates in manufacturing-adjacent sectors while services inflation continues on its own path. The resulting split -- goods deflation, services inflation -- creates complexity for central banks targeting a single headline figure and for governments managing the distributional consequences.

Japan: The Country That Knows What Comes Next

Japan's reaction to China's export involution is inflected by a form of institutional memory that no other country can claim. Japan spent the Lost Decades of the 1990s, 2000s, and 2010s trapped in exactly the dynamic that China is now exporting -- a domestically generated deflation spiral, where expectations of falling prices suppressed consumption, suppressed investment, and prevented monetary policy from providing the stimulus the economy needed. Japan's nominal GDP fell from \$5.5 trillion in the mid-1990s to significantly lower levels through the 2000s and 2010s [Wikipedia: Economy of Japan], a contraction without parallel in a major peaceful democracy. No one who understands that experience watches China exporting deflation to its trading partners without apprehension.

JETRO's data on anti-dumping actions is the clearest quantitative expression of how widely China's competitive pressure is being felt: 234 anti-dumping charges were initiated globally in 2025, with China the target in 97 cases. Taiwan and Thailand, second and third on the list, were each targeted 14 times -- less than one-seventh of China's count [NIKKEI[2026-07-28]]. Chinese companies also received 15 of the 41 countervailing-duty actions initiated globally in 2025 [NIKKEI[2026-07-28]]. These numbers, reported by JETRO's own chairman, reflect not a coordinated Western campaign but an independent convergence of trade-law judgments by dozens of governments across multiple continents reaching the same conclusion about Chinese export practices.

Japan's domestic exposure to Chinese involution is concentrated in sectors where the two countries most directly compete: consumer electronics, automotive components, and increasingly EV platforms. Japanese automakers' position in global EV markets has been structurally weakened by Chinese manufacturers' price-and-technology combination, a shift whose full consequences for Japan's export earnings and employment base are still unfolding.

V. Beijing's Dilemma: Anti-Involution Campaign vs. the Structural Trap

The Chinese government is not unaware of the problem. Beijing launched an "anti-involution" campaign two years ago that ranged from summoning executives to pledge against price wars to banning new industrial subsidies [NIKKEI[2026-08-29]]. Beijing ended tax rebates on solar panel exports. BYD and other large automakers vowed to pay suppliers more quickly, reducing the financial pressure that forces supply-chain participants to cut prices to maintain cashflow. The People's Daily, the Communist Party's official organ, published an editorial in July 2026 that addressed the overseas dimension directly: "While Chinese enterprises currently face an unprecedented strategic opportunity to expand globally, a trend of 'externalization of involution' has emerged in certain sectors. Some companies are extending low-end competitive strategies, characterized by product homogenization and price wars, into international markets. This not only squeezes their own profit margins but also risks triggering trade friction and damaging the overall image of 'Made in China'" [NIKKEI[2026-08-29]].

This is a remarkable admission. The People's Daily is not an outlet that publishes editorial self-criticism without official sanction. The editorial's acknowledgment that Chinese companies are exporting price wars and homogenised products -- and that this "damages the overall image of Made in China" -- signals that Beijing understands the reputational and geopolitical cost of involution's global export. Xi and Chinese state media had, as late as 2024, "consistently denied that China has an overcapacity problem" [FA[2024-09-01]]. The evolution from denial to official warning in the People's Daily over the span of roughly two years reflects the speed at which international backlash has forced a reframing.

Yet the structural trap remains unresolved. Local governments have continued to increase support for homegrown technology champions and remain reluctant to shutter idle capacity because of employment and growth-target imperatives [NIKKEI[2026-08-29]]. The anti-involution campaign operates at the central-government level; the incentives driving involution operate at the provincial and municipal level, where officials' career advancement depends on the very metrics -- employment, GDP, tax base -- that keeping factories open preserves. Central commands to "avoid price wars" compete against local incentives to ensure factories keep running at full capacity. This tension is not new in Chinese economic governance; it is structurally embedded.

The State Council's June 2026 framework broadening the definition of overseas investment and imposing national security reviews on sensitive sectors adds a further complication. Attorney Kenneth Zhou of JunHe described the new rules as reflecting "a broader policy shift under which China increasingly views outbound investment not only as a means of capital deployment, but also as a potential channel for the transfer of strategic assets, sensitive technology, data, expertise, and talent in ways that could affect national security" [NIKKEI[2026-08-29]]. Beijing blocked Meta's attempted acquisition of Chinese AI startup Manus earlier in 2026 under similar logic. China is simultaneously trying to reduce the trade friction its exports create -- by encouraging localisation -- and trying to prevent the technology and talent transfer that full

localisation would require. Yang Hongze of Autolink, who is targeting a manufacturing and R&D base in Romania, puts it precisely: "The important point is that we must have the ability to serve Japan in Japan, Europe in Europe, the United States in the United States. We must pursue both localization and globalization" [NIKKEI[2026-08-29]]. What neither he nor Beijing has reconciled is how to localise the production without exporting the technology -- and how to reduce the trade friction without sacrificing the cost advantage that makes China's exports competitive.

VI. What Exported Deflation Does to Monetary Policy and Capital Markets

The monetary-policy implications of China's deflation export are structural rather than cyclical, and they are already operating in ways that central banks are grappling with.

The mechanics are as follows. Goods prices in developed economies are being suppressed by Chinese import competition, while services prices -- which are produced locally and are not exposed to Chinese competition -- continue rising on domestic wage and productivity dynamics. The result is a growing divergence between goods CPI and services CPI that compresses headline inflation even when domestic economies are not especially weak. For a central bank targeting a 2 per cent headline CPI, persistent 0.6-per-cent suppression of goods prices means that headline inflation running at, say, 2.5 per cent in services terms produces a headline reading of approximately 1.9 per cent -- and the policy rate implied by that headline reading is lower than what the services economy alone would dictate.

This creates a structural loosening bias in monetary policy that is imported from China rather than determined by domestic conditions. The Fed, ECB, Bank of England, and Bank of Japan are all, to varying degrees, setting policy in an environment where headline inflation is being held below its "natural" services-driven level by Chinese goods deflation. If and when Chinese export competition abates -- whether through successful tariff walls, currency adjustment, or Chinese domestic demand recovery -- the goods deflation suppressor disappears and headline inflation rises, potentially forcing a tightening cycle at a time when the domestic economy has already adapted to the low-rate environment.

For equity markets, the deflation-export dynamic creates a bifurcated impact. Companies directly competing with Chinese exports -- European automotive suppliers, battery manufacturers, solar installers, and consumer electronics producers -- face persistent margin compression that is not a short-term competitive cycle but a structural repricing of their industries. MSCI Europe's performance in industrial and automotive sectors has diverged from US equivalents over the 2022-2026 period partly for this reason. Companies in non-tradeable sectors -- healthcare, services, utilities, domestic infrastructure -- face no direct Chinese competition and are structurally insulated.

For emerging market central banks, the challenge is different. Many EM central banks have held policy rates elevated to defend their currencies against dollar strength. Chinese goods

deflation suppresses their headline CPI even as services and food inflation continues. The resulting squeeze -- tight money to defend the currency, goods deflation reducing headline numbers, services inflation remaining sticky -- produces real interest rates that are higher than headline numbers suggest and that bear down on investment and growth without providing the monetary loosening that headline CPI readings might nominally justify.

The commodities dimension adds a further layer. China is simultaneously the world's largest producer of many manufactured goods and the largest consumer of the raw materials used to produce them. When Chinese domestic demand is weak and export volumes are high, the pattern is: abundant finished goods on global markets pushing down prices, but also weaker Chinese raw-material import demand pushing down commodity prices. For commodity-exporting emerging markets from Brazil to Indonesia, this is a double compression: lower export revenues from commodities into China, plus import competition from Chinese manufactured goods suppressing domestic industrial margins.

VII. The 2026-2030 Outlook: Three Scenarios

The trajectory of China's involution export over the next four years will be determined by the interaction of three forces: the effectiveness of tariff walls in restricting market access, the pace of Chinese domestic demand recovery, and the success or failure of Beijing's anti-involution campaign in actually reducing capacity. The following scenarios represent analytically coherent endpoints, not forecasts. All scenarios and projections are the author's analytical judgment.

Scenario A -- Fragmented Walls (Most Likely, 40% Probability). The US maintains and extends its tariff architecture; EU tariffs converge toward US levels across a widening range of Chinese product categories. China responds by accelerating localisation -- building or acquiring production in ASEAN, Eastern Europe, and Latin America. Chinese goods continue to flow globally but increasingly through local production entities that carry reduced tariff exposure. The deflationary impact on developed economies moderates as tariff walls take effect, but the Global South -- where tariff walls are lower, enforcement capacity weaker, and consumer purchasing power most responsive to price competition -- absorbs the deflated output that higher-income markets can no longer accept. ASEAN manufacturing faces intensified pressure as Chinese-owned plants compete directly with local and non-Chinese foreign investors. Global goods price inflation recovers modestly in the US and EU but remains suppressed in the Global South. The result is a bifurcated global goods price environment: tariff-protected markets at moderate inflation, open markets under sustained deflationary pressure from Chinese-linked production. China's internal overcapacity problem is not resolved but is geographically distributed.

Scenario B -- Localisation Détente (Possible, 30% Probability). Chinese companies successfully build enough local production in key markets -- Geely in Spain, BYD in Hungary, Autolink in Romania -- to reduce bilateral trade friction with Europe, while the US maintains higher walls. European governments, facing domestic pressure from both consumers wanting

cheaper EVs and workers demanding industrial protection, accept localisation as a workable compromise: Chinese technology and capital, local jobs and tax base. Beijing's anti-involution campaign achieves partial success as domestic consolidation in solar, battery, and EV sectors reduces the number of competing firms and allows survivors to earn sustainable margins. Chinese export volumes stabilise or decline from peak 2025-2026 levels as domestic market conditions improve incrementally. The deflationary transmission weakens but does not reverse. Global trade volumes remain elevated but the most extreme price competition moderates. The most likely version of this scenario requires Chinese domestic property-sector stabilisation enabling a consumer confidence recovery -- the necessary condition that is not yet present as of August 2026.

Scenario C -- Deflationary Spiral (Tail Risk, 30% Probability). Tariff walls in the US and EU prove partially effective -- reducing Chinese imports directly -- but Chinese companies successfully route production through third countries and maintain market share at lower prices. The price suppression documented by Goldman Sachs continues and intensifies through 2027-2028. Inflation in the EU and Japan remains persistently below target despite nominal goods-price recovery, as the quantity of Chinese-origin goods in consumer baskets remains high through third-country routing. Central banks in the EU and Japan find themselves caught between services-side inflation that prevents further accommodation and goods deflation that suppresses headline numbers. EM central banks managing high real rates amid goods deflation face growing sovereign-debt stress. In this scenario, the global economy enters a more extended period of low growth, muted inflation in goods sectors, persistent manufacturing-employment pressure in the developed world, and structural current-account deterioration for commodity exporters. This scenario requires both the failure of tariff policy and the failure of Beijing's anti-involution campaign -- two simultaneous failures that are individually plausible but jointly make this a tail rather than a base case.

The variable that most determines which scenario prevails is one that no tariff, trade negotiation, or monetary policy can control directly: whether China's domestic property sector and consumer confidence recover enough to absorb a meaningfully larger share of Chinese industrial output at home. If they do, the case for massive export-driven growth weakens from the supply side, and involution's internal logic loses some of its force. If they do not -- and there is no compelling evidence as of August 2026 that they will in the near term, given a projected full-year 2026 CPI of just 0.9 per cent [CNA[2026-02-11]] -- the export pressure continues by structural necessity.

VIII. Conclusion: The World China Is Making

Yang Hongze of Autolink told Nikkei Asia that he "went from being swept along to becoming the fastest to adopt this model." The sentence contains both the diagnosis and the prognosis. Being swept along is the honest description of how involution propagates: not through malice or conspiracy, but through rational responses to a competitive environment that no individual actor can unilaterally exit without ceding ground to those who remain. Becoming the fastest to adopt the model is the competitive resolution that involution produces: the firms, cities, and provinces that most completely internalise the race end up structurally advantaged over those that hedge. The model selects for its own intensification.

This is the dynamic that is now being exported. Germany, which built its industrial prosperity over decades on a model of premium engineering and high value-added manufacturing, finds that model structurally challenged not because Chinese engineers are better but because Chinese capital has a lower required return. Brazil, whose consumers benefit from cheaper vehicles, finds its domestic automotive manufacturers unable to compete not because of inferior design but because the price at which Chinese EVs are offered reflects a cost structure no Brazilian-owned factory can match at market rates. ASEAN, which built its development model on labour cost arbitrage and manufacturing investment, finds that Chinese-owned factories reproduce involution's dynamics inside their own borders rather than contributing to local industrial upgrading.

China's Ministry of Commerce rejects the "overcapacity" characterisation as "overly simplistic" and characterises the "China Shock 2.0" as a "China Opportunity 2.0" [NIKKEI[2026-07-28]]. There is a defensible version of this argument: Chinese solar panels and batteries genuinely accelerate the global energy transition, and the price suppression they bring reduces the cost of decarbonisation for every economy that imports them. Chinese EVs have genuinely driven innovation in battery technology, software integration, and charging infrastructure at a pace that Western manufacturers, operating under market-rate return requirements, could not have matched. The technological advance is real, and the consumer benefit is real.

What is also real is what Juergen Matthes at the German Economic Institute said: "The key point to understand is that one of the main reasons of the new China Shock is this producer price shock" [NIKKEI[2026-08-29]]. A price shock that wipes out 400,000 manufacturing jobs in a single country in six years is not a benign competitive realignment. It is a structural disruption whose social and political consequences -- in Germany, the fragility of the governing coalition's industrial policy; in France, the resurgence of economic-nationalist politics; in Japan, the renewed anxiety about domestic industrial sufficiency -- extend well beyond the economics of the affected sectors.

Yardeni Research's formulation is the most efficient summary: "China is exporting deflation" [NIKKEI[2026-08-29]]. What this report adds is the mechanism, the geography, the monetary-policy implications, and the outlook. The mechanism is the prisoner's dilemma of subsidised overcapacity, rational for each participant and irrational in aggregate, producing

goods at prices that reflect zero-hurdle-rate capital rather than market economics. The geography is global but uneven -- developed markets with tariff walls get moderate exposure; the Global South gets the full dose. The monetary implication is that central banks worldwide are setting policy in an environment where one of the most important inputs to their headline CPI is being set not by their domestic economies but by the competitive logic of Chinese involution. The outlook is contingent on China's domestic demand recovery, which as of August 2026 remains the open variable on which every scenario depends.

The Autolink CEO, who was swept along and became the fastest, is now planning a manufacturing base in Romania. The involution is going global. The question for every economy that receives it is whether they arrive at that outcome through choice and preparation, or discover it after the fact.

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